

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

SM LINE CORPORATION, *Respondent*.

DOCKET NO. 23-01

Served: February 22, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

MEMORANDUM ORDER REGARDING CONFIDENTIAL DOCUMENT

On February 2, 2024, the parties attended a status conference for the purpose of resolving certain discovery motions that were the subject of the February 5, 2024 Memorandum Order, including Complainant's motion [Dkt. 55] for determination of a claim of privilege and waiver with respect to a document produced by Respondent SM Line Corporation in discovery ("Waiver Motion"). At the status conference, I ruled that the subject document was protected work product, but that SM Line had waived the protection.

At a subsequent conference on February 5, 2024, which I scheduled for the purpose of resolving additional disputes regarding scheduling that were brought to my attention that morning, Complainant Samsung Electronics America, Inc. ("SEA") raised a further dispute regarding its use of the subject document. The parties were unable to resolve their dispute and so I heard their arguments at the conference. SEA sought a ruling changing the designation of the subject document from "Confidential – Attorneys' Eyes Only" ("AEO") to "Confidential," in order to share the document with two in-house lawyers, Ken Murata and Changsu Han, for purposes of the litigation. SM Line argued that the subject document should not be shared with these individuals because one of them was not acting as an attorney in the SEA organization and because the AEO designation was properly applied to the document.

I deferred ruling and asked the parties to send me their confidentiality agreement, highlighting the relevant provisions. The agreement provides for a process to request that a designation be changed, and to submit any resulting dispute to the presiding officer. But it is silent as to the standards that the parties or the presiding officer should apply to differentiate between materials considered merely "Confidential" (a term the agreement does define) as opposed to those considered "Confidential – AEO" (not defined). Under the agreement, confidential information is defined broadly to include "information that is not publicly known" or "that a Party reasonably believes should otherwise be subject to confidential treatment." Confidential information may be disclosed to parties, their attorneys and experts, and the Commission. The AEO designation may be applied to any confidential information if a

producing party “considers that its nature is such that it should be available only to opposing counsel of record and Experts, and not to the opposing Party itself.” Given the broad definition of “confidential” and the non-definition of “AEO,” it is challenging to ascertain the parties’ specific intentions and give them effect with respect to a particular document.

Resorting to general principles, a party seeking a protective order must establish good cause for an order requiring that a “trade secret or other confidential research, development, or commercial information not be disclosed or be disclosed only in a specified way,” such as AEO. Rule 141(j)(1)(vii). To carry the “good cause” burden under the analogous FRCP 26(c)(7), a party must first establish that the information is a trade secret or other confidential research, development, or commercial information and then demonstrate that its disclosure might be harmful. The burden then shifts to the party seeking discovery to establish that disclosure of a trade secret or other confidential information is relevant and necessary to the action. Finally, the district court must balance the need for discovery of the trade secrets against the claim of injury resulting from disclosure. *A Major Difference, Inc. v. Wellspring Prod., LLC*, 243 F.R.D. 415, 416–17 (D. Colo. 2006).

In federal district court litigation, courts typically enter protective orders reserving the “highly confidential” or “AEO” label for research, development, manufacturing information or patent prosecution information; the identity of suppliers, distributors, or potential or actual customers; technical analyses or comparisons of competitor's products; non-public financial or marketing research or analyses or comparisons of competitor's products and strategic product planning. *See, e.g. Royal Pac. Ltd. v. Faith Elec. Manufacture Co., Ltd.*, No. 1:17-CV-00357 VJ/KBM, 2019 WL 13140739, at *1 (D.N.M. Jan. 28, 2019); *Farmers Edge Inc. v. Farmobile, LLC*, No. 8:16CV191, 2016 WL 6212442, at *2 (D. Neb. Oct. 24, 2016).

None of these categories describes the subject document. It is a spreadsheet listing the shipments that are at issue in this case, relevant dates, detention/demurrage charges, the reasons for the charges, and the amounts billed and collected. Pivot tables sort the data in different ways, but there is no research or development, no customer identities other than those relevant to this case, no analysis of competitors, the market, or strategic plans. There are no specific criteria in the parties’ confidentiality agreement that support the application of the AEO label to this document. Nothing was raised at the hearing that supports a good cause determination that disclosure of the information to the two individuals identified by SEA would be harmful – no harm was identified – and the subject matter of the document is clearly relevant to the case.

It is therefore ORDERED that SEA may treat the subject document in accordance with the procedures for “Confidential” documents, rather than the “Confidential – AEO” procedures outlined in the parties’ confidentiality agreement.

Alex Michael Chintella Digitally signed by Alex Michael Chintella
Date: 2024.02.22 14:38:45 -05'00'

Alex M. Chintella
Administrative Law Judge